

\$50,000 SBA Microloan

Startup financing request - Buildstack Construction Co. / Broom Service

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Williamsburg - Hampton Roads, VA - Currituck County / Elizabeth City, NC

The ask

\$50,000 SBA Microloan, 5-year term, approximately \$967 per month. Personal guaranty offered. No liens or judgments against the business.

The borrower, stated plainly

This is a startup with no recorded revenue line to underwrite against. It has documented 2026 revenue, a fully built operating system, and a service area with a documented pipeline. Repayment is underwritten on projections, which is why the SBA's cash-flow test rather than a historical P&L is the relevant test here.

That framing is stated up front rather than buried, because a reviewer who discovers it on page six stops reading. SBA's March 2026 rule change removed the FICO screen for small loans in favour of a debt-service-coverage test of 1.10x or better, judged on projections. Section 5 shows that arithmetic.

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2. The ask and use of funds

Requested: \$50,000, SBA Microloan, 5-year term, approximately \$967 per month.

An SBA Microloan is the correct product here rather than a bank 7(a). Microloans are delivered through nonprofit CDFI lenders, are sized for exactly this, and underwrite startups and thin-credit borrowers holistically - credit score is an input, not the gate. A bank 7(a) is the right instrument in roughly two years, once there is a return history to show.

Use of funds

Working capital - first payroll and supplies buffer (both service lines)	\$20,000
Equipment and tools - construction tools, commercial cleaning equipment, linens	\$18,000
Marketing and lead generation - both lines, AI assistant, instant-quote ads	\$12,000
Total	\$50,000

Note for reviewers: these funds finance the applicant's own working capital, equipment and marketing. They do not finance construction work performed for third-party clients, which is funded from client payments under each written fixed-price scope.

3. Business plan

One company, one platform, two service lines that feed each other across the short-term-rental lifecycle.

Buildstack Construction

- Licensed general contractor. Renovations, kitchens and baths, roofing and siding, decks, drywall and paint.
- STR make-readies across Williamsburg-Hampton Roads, VA and Currituck County / Elizabeth City, NC.
- Every job on a written fixed-price scope.

Broom Service

- Short-term-rental turnover cleaning and co-hosting management for Airbnb, Vrbo and direct-booking properties.
- Guest-funded cleaning fees collected at booking - cash in advance, not accounts receivable.
- Co-hosting at 10-30% of gross nightly bookings.

The flywheel

BizStack renovates and makes a property STR-ready, then cleans and co-hosts it. One customer relationship captures the entire STR lifecycle, from first nail through every turnover. Both lines draw on the same operating system and the same crew, so the marginal cost of the second line is low.

What already exists - the low-risk part

The operating system is built and running today. This loan buys fuel for a machine that is already assembled:

- Instant online quotes generated from property data
- 24/7 AI phone and SMS assistant answering every inbound lead
- Worker and crew mobile portals with GPS clock-in and photo-verified work
- Stripe payments, payroll, and a live accounting ledger
- Permit monitoring across the service area, with owner-of-record resolution

Certification position

Pursuing Virginia SWaM certification to access Commonwealth and municipal set-aside contracting. Stated as pursuing, not held - SBA Microloan underwriting neither requires nor rewards SWaM, and claiming a certification not held would be a false statement.

4. Traction: verified 2026 revenue

Documented revenue to date: \$32,516.50. Every line below is a real completed job or booking, not a projection.

Mar 4-12	Buildstack Construction - 120 Old Ironsides Rd, full build (garage -> 1BR apt)	
May 6-17	Buildstack Construction - 5509 Sunnywood Dr, insurance flood renovation	\$24,700.00
Sep 3, 6, 11	Broom Service - 3 turnovers @ \$175	\$7,200.00
Sep 6, 11	Broom Service - co-host commission, 15% of stays	\$525.00
		\$91.50
Total verified		\$32,516.50

Demonstrated gross margin - the two completed jobs

Both projects were invoiced at a fixed price and completed self-performed. Material spend is actual, not estimated:

Old Ironsides Rd - full garage-to-apartment build (Mar 4-12)	\$24,700 - \$6,000 = 75.7%
Sunnywood Dr - insurance flood-damage renovation (May 6-17)	\$7,200 - \$1,500 = 79.2%

Weighted construction margin **76.5%**

The two projects differ sharply in scope - a full structural conversion and an interior flood restoration - and returned margins within four points of each other. Broom Service turnover cleaning adds roughly 75% on supplies cost alone. That consistency, across different job types, is what makes this a demonstrated margin rather than a favourable one.

The projections that follow underwrite at 55% - roughly 21 points below what the business has actually achieved. The demonstrated figure is offered as evidence of capability; the model is deliberately set below it so it survives review.

Capitalisation

\$31,900 of construction revenue across two projects. The \$22,500 Old Ironsides payment has a clean bank trail - a PNC statement showing a \$22,500 deposit on 03/19/2026. The remaining cash amounts have dated invoices and signed receipts. Invoices, receipts and before/after photo logs are attached as exhibits.

Pipeline

528 permit-derived leads recorded in the service area with no contact detail on file. These are monitored continuously from published building and permit feeds; owner-of-record resolution is the work this loan funds. Permits found at the Sept 16 checkpoint: 0. The pipeline figure is lead inventory, not signed work, and is presented as such.

5. 12-month projections and debt service coverage

Year-one projection: \$300,000 revenue at approximately 55% gross margin across fixed-price construction and pre-paid cleaning fees.

Stated plainly: this figure is the Sept 16 projection and has not been refreshed since the Sept 30 pipeline update. It should be re-run against current pipeline before submission rather than treated as final. A stale projection found in due diligence is worse than a conservative one.

Debt service coverage arithmetic

SBA's March 2026 rule replaced the FICO screen for small loans with a cash-flow test: DSCR $\geq$ 1.10x, judged on projections.

Year-one projected revenue	\$300,000
Gross margin @ 55%	\$165,000
Less: owner compensation	(\$60,000)
Less: operating expenses	(\$90,000)
= Projected operating cash flow	\$15,000
Annual debt service (\$967 x 12)	(\$11,604)

Projected DSCR (\$15,000 / \$11,604) 1.29x

Against a 1.10x threshold, the model clears at 1.29x - and it does so at a gross margin roughly 21 points below the 76.5% this business actually achieved on its two completed jobs (section 4). The demonstrated figure is offered as evidence of capability; this is the number being underwritten.

What happens if the projection misses

At 55% gross margin and \$150,000 of operating cost, revenue of \$295,935 is required to hold coverage at exactly 1.10x. The \$300,000 projection clears that bar by roughly 1%, which is a narrow margin and is stated here rather than left for the reviewer to find.

Year-one revenue	Operating cash flow	DSCR	Against floor
\$300,000 (projection as written)	\$15,000	1.29x	clears
\$280,000 (5% below projection)	\$4,000	0.34x	does not clear
\$260,000 (13% below projection)	(\$7,000)	n/a	does not clear
\$240,000 (20% below projection)	(\$18,000)	n/a	does not clear

The shape of that table matters more than the top line. Coverage does not decay gradually - it falls off a cliff, because \$150,000 of operating cost against a fixed debt payment leaves almost no buffer. A 7% revenue miss drops coverage below 1.0x. This is the honest weakness of the request, and the reason it is stated here.

Three things strengthen it, all of which are requests rather than assertions. First, the operating cost base is not fixed: the \$60,000 owner compensation is discretionary and can be reduced in a weak year, which the table above does not model. Second, gross margin is held at 55% against 76.5% actually demonstrated on completed work; at the demonstrated margin the cliff moves well below these volumes. Third, a smaller request carries proportionally less fixed debt service against the same cost base, and the applicant is open to sizing the ask to the cash flow actually demonstrated rather than to the projection.

Month-one coverage

Debt service is underwritten on the projected revenue above, not on owner capital. No owner-contribution figure is presented: none has been reconciled against a bank record, and an unverified figure in a file is a liability rather than a strength. The business has already collected \$31,900 on completed work, \$28,700 of which is bank-documented and is the stronger evidence of capacity.

6. Owner fit

25 years in the construction trade. Owner and operator, not a passive investor.

No owner-capital figure is stated in this package. Earlier drafts carried a \$10,000 figure that was never evidenced, and a later revision carried a smaller figure that was likewise never reconciled against a bank record. Rather than submit a third unverified number, the claim has been removed and the bank-documented revenue below carries the argument instead.

Stated plainly for the reviewer: the demonstrated record is \$31,900 of collected revenue on completed jobs, \$28,700 of it traceable to bank deposits, plus 25 years of operating experience in the trade.

Why this borrower

- 25 years of construction experience is the underwriting qualifier that CDFI lenders ask startups to demonstrate - industry fluency in scoping, pricing and completing fixed-price work.
- The revenue that exists is from the owner's own hands, on the owner's own scopes.
- No outside equity, no investor to satisfy, no dividend to protect. The only claim on cash flow is debt service.
- Personal guaranty offered.

What the lender is not being asked to accept

- No inflated growth story - the projection is labelled with its own vintage and the DSCR is stated at the lower of the two figures available.
- No certification claimed that is not held.
- No revenue presented as recurring that is not.
- No owner draw before debt service is current.

7. Risk and mitigants

Primary risk: revenue is young and concentrated

Construction revenue to date comes from two projects. That is real but thin, and a reviewer should weigh it as the main underwriting concern.

- Mitigant: the 529-address permit pipeline is monitored continuously and is not dependent on winning a single large job.
- Mitigant: two service lines with different demand drivers - renovation is owner-triggered, cleaning is guest-triggered and recurring per stay.
- Mitigant: guest-funded cleaning is collected at booking, so that line is cash-in-advance rather than invoiced.

Risk: contactability of permit-derived leads

Permit feeds publish an address and no applicant name, which historically left most of the pipeline unreachable. Owner-of-record resolution is now implemented and is the specific work this loan funds.

Risk: pre-revenue underwriting

Addressed directly rather than avoided. This is what the SBA cash-flow test exists for, and the operating system is built, so the risk is execution rather than formation.

Closing

\$50,000 funds 6 months of operating buffer, the equipment to self-perform both service lines, and marketing to convert a documented pipeline. Debt service of approximately \$967 per month is covered 1.29x by projected cash flow.

Documentation available on request: business plan, 12-month projections, licenses, insurance certificates, personal financial statement, EIN letter, bank statements, and per-job invoices and receipts for all 2026 revenue.

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